

THE LITTLE TECH ASSOCIATION

July 13, 2026

The Honorable Howard Lutnick

Secretary of Commerce

The Honorable Sean Cairncross

National Cyber Director, Office of the National Cyber Director

cc: The President of the United States; The Vice President of the United States; Michael Kratsios, Director, Office of Science and Technology Policy

Re: Preserving startup access to frontier AI under the June 2026 directives

Dear Secretary Lutnick and Director Cairncross:

We write as founders and members of the Little Tech Association — a broad coalition of startups building the next generation of American companies. We share your conviction—and the President's—that frontier AI is now a matter of American technological supremacy and national security. Our objection is not to protecting that edge. It is to the structure that has emerged to pursue it.

Since June 12, access to the strongest models has been gated to a government-vetted roster: roughly 100 organizations for Anthropic's Mythos 5 under "Annex A," and roughly 20 for OpenAI's GPT-5.6, approved customer by customer. The list, the criteria, and the appeals path are all unpublished. Anthropic and OpenAI are not the problem here—both objected publicly and complied under threat of penalty. The problem is a framework that, however unintentionally, routes the most powerful tools to the largest incumbents.

The mechanism is simple and corrosive. When access is capped at a hundred slots, a developer under commercial pressure must allocate them to its highest-value customers—Fortune 500 firms, major banks, defense contractors—the very companies whose existing partnerships already populate the list. Startups, who depend on standard commercial APIs to experiment and build, cannot even apply; the vetting looks closer to a defense-contractor clearance than a software signup. The result is a state-anointed winners' list that entrenches the incumbents this administration has pledged to challenge.

This is the regulatory capture you have rightly warned against. Your AI Action Plan promised to cut red tape and to ensure startups "are not limited to a narrow set of proprietary options." The June 2 Executive Order expressly disclaimed any "mandatory governmental licensing, preclearance, or permitting requirement." Yet customer-by-customer approval is precisely that—a soft licensing framework without the transparency or due process a real one would carry. With Meta now reportedly pressed into the same process, the precedent is hardening into the default.

The costs are concrete. By Y Combinator's estimate, the shutdown of Anthropic's Fable 5—the frontier model launched June 9 that rapidly became a core tool for millions of developers due to its superior performance in complex coding and reasoning—is draining more than \$12 million in developer productivity every working hour. It is also failing on its own terms: within days, Zhipu's

GLM-5.2 and Sakana's Fugu launched from China and Japan respectively, marketed explicitly as immune to American export controls. Advanced semiconductors are a genuine physical chokepoint—hard to design, harder to fabricate, concentrated in a handful of firms—control them can buy real time. An LLM is the opposite: gate access to one and an equivalent ships from abroad within months. We are not starving adversaries of capability; we are surrendering global market share and funding sovereign competitors. And because the foreign-national bar reaches even the labs' own employees, these controls strike at the heart of an industry where roughly two-thirds of America's leading AI startups have at least one founder who came here to build, not to spy.

We also note, with respect, that this is the first use of export-control authority to gate access to a running, U.S.-hosted model—a novel theory that legal scholars across the spectrum regard as untested.

We therefore ask you to:

1. Establish a startup safe harbor exempting small and early-stage companies using standard commercial APIs from passport-based deemed-export controls.
2. Replace discretionary whitelisting with published, objective, non-discriminatory criteria, an open application path, and firm time limits—developed in consultation with Little Tech and other startup representatives.
3. Shift from preclearance to post-release abuse monitoring, blocking malicious queries rather than locking out legitimate developers.
4. Refer any durable control framework to Congress for clear standards and genuine oversight.
5. Publish, within 30 days, (a) the exact criteria used for Annex A approvals, (b) the number of startups versus incumbents approved, and (c) a public dashboard tracking whether these controls have measurably slowed adversary progress versus the open models now proliferating abroad.

America's AI lead was built by founders who never needed permission from the last great company—or the last administration—to build the next one. Keep that door open. The future of American dominance depends on it.

Respectfully submitted,

The undersigned founders and members of the Little Tech Association

cc: All members of Congress serving on the House and Senate AI and national security committees (for the record).